



Progressio Investimenti III

Quarterly Report Q1 2025

SUMMARY

SUMMARY	2
FUND INFORMATION	3
Fund Overview	3
Executive Summary	5
Fund Performance Status.....	7
Fund Financial Statements.....	9
GP Fees, Carried Interest and Fund Operating Expenses.....	15
Fund Bridge and Leverage Facilities.....	16
Related Party Transactions and Conflict of Interest	16
INVESTMENT PORTFOLIO INFORMATION	17
Portfolio Summary	17
Portfolio Asset Detail	19
RECENT EVENTS.....	44

FUND INFORMATION

Fund Overview

GENERAL	
FUND FULL NAME	Progressio Investimenti III
FIRST & FINAL CLOSING DATE	15 Jan 2018 (first close), 15 Jul 2019 (final close)
VINTAGE YEAR	2018
FIRST INVESTMENT DATE	22 Mar 2018
TERM	10 years to 15 Jan 2028
INVESTMENT PERIOD	5 years to 15 Jan 2023
EXTENSIONS	By one or two periods of one year each with the approval of a simple majority
FUND CURRENCY	Euro
TOTAL COMMITMENTS	Euro 250.0 million
YEAR END	31 December
DOMICILE	Italy
LEGAL FORM	Italian closed-end investment fund of a contractual nature (fondo chiuso)
MANAGER	Progressio SGR S.p.A.
CLIENT CONTACT	Nicola Carbone (CFO), Beatrice Capretti (IR)
MAXIMUM INVESTMENT	15% of Total Commitments
OTHER INVESTMENT RESTRICTIONS	See Art. 4.9 of the Rules
REINVESTMENT POLICY/RECYCLING	See Art. 7.9 of the Rules
MAXIMUM BRIDGING	See Art. 4.10 of the Rules
ACCOUNTING PRINCIPLES	Criteria set forth by the Bank of Italy
VALUATION POLICY (CAPITAL ACCOUNT)	International Private Equity & Venture Capital Valuation (IPEV) Guidelines
ESG POLICY & REPORTING	http://www.progressiosgr.it/responsible-investment-policy/
INVESTMENT FOCUS BY	
STAGE	Buyout, Expansion capital (See Art. 4.5 of the Rules)
SECTOR FOCUS	Mechanical Engineering, Fashion & Luxury, Pharma & Chemical, Food & Beverage
GEOGRAPHY	Italy (See Art. 4.6 of the Rules)
KEY ECONOMIC TERMS	
MANAGEMENT FEES	2% on committed capital during the Investment Period; 2% of the gross invested capital net of the Investee Companies disposed, written off or written down by 90% or more of the original book value (See Art. 9.1.1 of the Rules)
CARRIED INTEREST	Whole fund. 20%, subject to a return of 100% of paid-in capitals plus 8% hurdle. 100% catch up

AIFMD AND SERVICE PROVIDERS	
MANAGER'S REGULATOR	Bank of Italy
DEPOSITARY	Banca Popolare di Sondrio
COUNTRY OF REGISTRATION	Italy
INDEPENDENT VALUER	Quantix S.r.l. (Davide Andreazza)
INDEPENDENT RISK MANAGER	Quantix SIM S.p.A. (Roberto Botter)
AUDITOR	KPMG
LP ADVISORY COMMITTEE	
MEMEBERS	Mennato Longo, Nicolino Zaffina, Thierry Wolff, Massimo Orabona, Alberto Petranzan, Giovanna Fantino, Federico Girardi.

Executive Summary

This report includes the financial information related to Progressio Investimenti III (the “**Fund**” or “**PI III**”) for the period from January to March 2025 (“**Q4 2024**”). It has been prepared by Progressio SGR S.p.A. (the “**Manager**”, “Progressio” or the “**SGR**”).

PI III held the final closing on 15th July 2019, reaching Euro 250 million hard cap, having collected commitments above the expected target of Euro 225 million. The majority of the capital has been raised by new investors (mainly institutional) who have demonstrated a strong interest in the initiative. The management team has invested around 5% of the total commitment.

PI III is focused on best-in-class Italian mid-market companies with leading positions in their respective sector and revenues between Euro 30 million and Euro 150 million (with the majority expected to be below Euro 100 million). The Fund targets those markets and industries - notably industrial & mechanical engineering, fashion & luxury, pharma & chemicals, food & beverage and digital - in which Italy has a reputation for excellence and which present opportunities to scale businesses organically or by add-on acquisitions.

Since inception PI III completed 8 investments, of which 4 already exited:

- Interni (acquired in Oct-2019), a global provider of goods, services and solutions revolving around the high-end and luxury design furniture. In November 2021, the entire stake (70%) held in design Experience Holding S.p.A., a vehicle that held 100% of Interni S.p.A. has been sold to a strategic buyer,
- Save The Duck (acquired in Mar-2018), a leading brand in premium puffer jackets and outdoor apparel 100% animal-free. In April 2022, the entire stake held in Lhotse S.p.A. (61,2%), a vehicle that held 68,5% of Save The Duck S.p.A., has been sold to a group of strategic buyers, and
- Assist Digital (acquired in Dec-2020), a digital Customer Relationship Management (CRM) service provider focused on CRM transformation and digital interactions blending human and Artificial Intelligence to match consumer and brand needs. On 30th March 2023 the entire stake held in Assist Digital by Wide Open S.r.l. (30%), a vehicle controlled by PI III, has been sold to a pan-European private equity fund.
- Gelit (acquire in May 2019), a leading player in the production and sale of frozen food. In November 2024, the entire stake held in Gelit (33,9%), has been sold to another private equity fund.

As of 31st March 2025 PI III has still 4 operating portfolio companies:

- Gampack (Jan-2019), a niche leading player in the production of machineries for the secondary packaging industry;
- Damiano (Jul-2019), a company active in the dry fruits segment;
- Polenghi Food (Aug-2019), a company active in the food condiments segment, focused on lemon juice-based products;
- ATK Sports (May 2021), a mechanical company leader in development and production of best-in-class ski touring bindings and accessories.

Wide Open S.r.l. (the vehicle through which PI III held the stake in Assist Digital) will complete the liquidation after the distribution of the Deferred Consideration, from the sale of Assist Digital (please refer to Portfolio Asset Detail section for more details).

As of 31st March 2025, PI III has called Euro 196.2 million (fully paid), of which Euro 166.1 million for Investments and Euro 30.1million for Management Fees and Fund expenses, having distributed to investors Euro 201.0 million, implying a DPI of c.a. 1.02x, that considering also the Deferred Consideration of Assist Digital would be ca. 1.04x.

The average equity ticket on the entire PI III portfolio is Euro 20.7 million while the average holding period is 4.4 years. The Fund NAV as of 31st March 2025 is equal to Euro 125,4 million.

	Euro	
Total Commitment	250.000.000	
Capital Calls (Draw Downs Paid-in)	196.215.808	(79% of commitment)
<i>for Investments (1):</i>	166.081.527	
<i>for Management Fees:</i>	28.008.701	
<i>for Fund Expenses (Set up and other cost) (2):</i>	2.125.580	
Undrawn Commitment (3)	53.784.192	(21% of commitment)
Total Distributions:	200.978.445	(100% of capital calls)

Note(1): the amount includes (i) Euro 735k of overfunding amount called to finance the investment in Gelit which have been used to finance set up cost for the fund (Euro 235k), to acquire the shares of Gampack S.r.l. (Euro 200k) from a leaving manager and the residual amount left at fund disposal to face, in the past and next years, at fund expenses and (ii) Euro 100k called to finance the investment in Assist Digital but not injected in the company and afterwards used to finance the costs for the syndication (Euro 26k) and the residual amount left at fund disposal to face future fund expenses.

Note(2): the amount includes the transaction cost related to the investment in Polenghi Food which – since the deal has been structured as a share purchase directly from the Fund (without NewCo) – were directly incurred by the fund (Euro 467,469).

Note(3): Total Commitment less Capital Calls (Draw Downs Paid-in)

Fund Performance Status

The total commitment of PI III was Euro 250 million; from inception to 31st March 2025 the Fund made capital calls to investors for a total amount of Euro 196.2 million (fully paid), of which Euro 166.1 million has been drawn to finance the investments in Save The Duck, Gampack, Gelit, Damiano, Polenghi Food, Interni, Assist Digital and ATK Sports and Euro 30.1 million for Management Fees and Fund cost and expenses.

From inception to 31st March 2025 the Fund made four distributions, as a consequence of the sales of Interni, Save The Duck, Assist Digital and Gelit for a total amount of Euro 201.0 million.

	Inception to 31 March 2025	
	Euro	% Total Commitment
Total Commitment	250.000.000	100,0%
Capital Calls (Draw Downs Paid-in)	196.215.808	78,5%
<i>for Investments (1):</i>	166.081.527	
<i>for Management Fees:</i>	28.008.701	
<i>for Fund Expenses (Set up and other cost) (2):</i>	2.125.580	
Total Distributions:	200.978.445	80,4%
of which Recallable Distributions	-	
Undrawn Commitment (3)	53.784.192	21,5%
Total Invested in Portfolio Companies	165.760.888	66,3%
Total Additional commitment to Portfolio Companies	-	

Note(1): the amount includes (i) Euro 735k of overfunding amount called to finance the investment in Gelit which have been used to finance set up cost for the fund (Euro 235k), to acquire the shares of Gampack S.r.l. (Euro 200k) from a leaving manager and the residual amount left at fund disposal to face, in the past and next years, at fund expenses and (ii) Euro 100k called to finance the investment in Assist Digital but not injected in the company and afterwards used to finance the costs for the syndication (Euro 26k) and the residual amount left at fund disposal to face future fund expenses

Note(2): the amount includes the transaction cost related to the investment in Polenghi Food which – since the deal has been structured as a share purchase directly from the Fund (without NewCo) – were directly incurred by the fund (Euro 467,469)

Note (3): Total Commitment less Capital Calls (Draw Downs Paid-in)

Company	Draw Downs		Distributions	
	Euro	% onTot	Euro	% onTot
Save The Duck	17.864.274	10,8%	53.836.500	26,8%
Gampack	16.053.139	9,7%		0,0%
Gelit (1)	18.625.000	11,2%	39.900.175	19,9%
Damiano	30.333.333	18,3%		0,0%
Polenghi Food (2)	19.532.531	11,8%		0,0%
Interni	24.500.000	14,8%	40.451.483	20,1%
Assist Digital (3)	24.385.750	14,7%	66.790.286	33,2%
ATK Sports	14.787.500	8,9%		0,0%
Total	166.081.527	100%	200.978.445	100%

Note (1): the total amount drawn for Gelit is equal to Euro 18.6 million while the cost is Euro 17.9 million. The difference Euro 735k, initially called to finance a potential price adjustment envisaged by the SPA which was based on the actual net financial position at closing, has been used to finance set up cost for the fund (Euro 235k), to acquire the shares of Gampack S.r.l. (Euro 200k) from a leaving manager and the residual amount left at fund disposal to face past and future fund expenses.

Note (2): the total committed capital related to the investment in Polenghi Food is Euro 20.0 million of which Euro 19.5 million for the share purchase and Euro 0.5 million to finance the transaction cost.

Note (3): The amount includes Euro 100k not injected into the company but afterwards used to finance the costs for the syndication and fund expenses. The distribution from the sale of Assist Digital has been made between April and May 2023 for a total amount around Euro 65.0 million.

	Inception to 31 March 2025	
	Euro	% Total Commitment
Total Fair Value of the Portfolio Companies	125.318.512	50,1%
Other Fund Asset	872.889	0,3%
Other Fund Liabilities	(809.977)	-0,3%
Total Net Asset Value (NAV)	125.381.424	50,2%
Gross IRR	19,6%	
Gross MOIC	2,0x	
Fund Net IRR (after Carried Interest and Fees)	12,3%	
Fund Net IRR modified for Bridge Finance	n.s.	
DPI	1,0x	
RVPI	0,6x	
TVPI	1,7x	
Paid In Capital to Committed Capital (PICC)	78,5%	

Fund Financial Statements

Management Accounts

Financial Statements of the Progressio Investimenti III fund as of 31 March 2025

BALANCE SHEET

Management company PROGRESSIO SGR

Custodian Bank

Banca Popolare di Sondrio

	31 March 2025		31 December 2024	
	Total Amount (Euro)	As % of total assets	Total Amount (Euro)	As % of total assets
ASSETS				
A. FINANCIAL INSTRUMENTS	76.063.216	98,87	76.063.216	93,53
Unlisted financial instruments				
A1. Majority investments	56.530.685	73,48	56.530.685	69,51
A2. Minority investments	19.532.531	25,39	19.532.531	24,02
A3. Other equities				
A4. Debt securities				
A5. OEIC units				
Listed financial instruments				
A6. Equities				
A7. Debt securities				
A8. OEIC securities				
Derivative financial instruments				
A9. Margin accounts with clearing houses				
A10. Options, premiums or other listed derivative financial instruments				
A11. Options, premiums or other unlisted derivative financial instruments				
B. PROPERTY AND PROPERTY RIGHTS				
B1. Leased properties				
B2. Properties under finance leases				
B3. Other properties				
B4. Property rights				
C. RECEIVABLES				
C1. Receivables acquired for securitisation transactions				
C2. Other				
D. BANK DEPOSITS				
D1. On demand				
D2. Other				
E. OTHER FIXED ASSETS				
F. NET CASH AND CASH EQUIVALENTS	846.657	1,10	5.226.485	6,43
F1. Available cash and cash equivalents	846.657	1,10	5.226.485	6,43
F2. Cash and cash equivalents to be received for transactions to be settled				
F3. Cash and cash equivalents used for transactions to be settled				
G. OTHER ASSETS	26.232	0,03	35.713	0,05
G.1 Repurchase agreements and similar transactions				
G2. Prepaid expenses and accrued income	26.232	0,03	35.713	0,04
G3. Tax saving				
G4. Other				
TOTAL ASSETS	76.936.105	100	81.325.414	100

	31 March 2025		31 December 2024	
	Total Amount (Euro)	As % of total assets	Total Amount (Euro)	As % of total assets
LIABILITIES AND NET ASSET VALUE				
H. FINANCING RECEIVED				
H1. Mortgage loans				
H2. Repurchase agreements and similar transactions				
H3. Other				
I. DERIVATIVE FINANCIAL INSTRUMENTS				
I1. Options, premiums or other listed derivative financial instruments				
I2. Options, premiums or other unlisted derivative financial instruments				
L. PAYABLES DUE TO UNIT HOLDERS				
L1. Income to be distributed				
L2. Other payables due to unit holders				
M. OTHER LIABILITIES	809.977		60.984	
M1. Commissions and expenses matured and not paid	48.832		50.778	
M2. Tax payable	759.925		7.685	
M3. Accrued expenses and deferred income				
M4. Other	1.220		2.521	
TOTAL LIABILITIES	809.977		60.984	
TOTAL NET ASSET VALUE OF FUND CLASS A UNITS	72.609.101		77.510.013	
TOTAL NET ASSET VALUE OF FUND CLASS B UNITS	3.456.126		3.689.405	
TOTAL NET ASSET VALUE OF FUND CLASS C UNITS	60.901		65.012	
TOTAL NET ASSET VALUE OF FUND	76.126.128		81.264.430	
Number of class A units outstanding	238.450		238.450	
Number of class B units outstanding	11.350		11.350	
Number of class C units outstanding	200		200	
Total number of units outstanding	250.000		250.000	
Unit value of class A units	304,505		325,058	
Unit value of class B units	304,505		325,058	
Unit value of class C units	304,505		325,058	
Reimbursements or income distributed to class A units	809,257		788,585	
Reimbursements or income distributed to class B units	691,894		672,828	
Reimbursements or income distributed to class C units	790,192		788,585	

Financial Statements of the Progressio Investimenti III fund as of 31 March 2025

PROFIT AND LOSS ACCOUNT

Management company PROGRESSIO SGR

Custodian bank

Banca Popolare di Sondrio

	31 March 2025	31 December 2024
	Total Amount (Euro)	Total Amount (Euro)
A. FINANCIAL INSTRUMENTS		
Unlisted financial instruments		
A1. EQUITY INVESTMENTS		
A1.1 dividends and other income		
A1.2 profits/losses on disposals		22.862.622
A1.3 capital gains/losses		4.131.361
A2. OTHER UNLISTED FINANCIAL INSTRUMENTS		
A2.1 interest, dividends and other income		
A2.2 profits/losses on disposals		
A2.3 capital gains/losses		
Listed financial instruments		
A3. LISTED FINANCIAL INSTRUMENTS		
A3.1 interest, dividends and other income		
A3.2 profits/losses on disposals		
A3.3 capital gains/losses		
Derivative financial instruments		
A4. DERIVATIVE FINANCIAL INSTRUMENTS		
A4.1 hedging		
A4.2 trading		
Profit or loss on financial instruments business	0	26.993.983
B. PROPERTY AND PROPERTY RIGHTS		
B1. LEASE PAYMENTS AND OTHER INCOME		
B2. PROFITS/LOSSES ON DISPOSALS		
B3. CAPITAL GAINS/LOSSES		
B4. PROPERTY MANAGEMENT COSTS		
B5. AMORTISATION AND DEPRECIATION		
Profit or loss on property business		
C. RECEIVABLES		
C1. interest income and similar revenue		
C2. increase/decrease		
Profit or loss on receivables		
D. BANK DEPOSITS		
D1. interest income and similar revenue		
E. OTHER ITEMS		
E1. Income		
E2. Profits/losses on disposals		
E3. Capital gains/losses		
Profit or loss on investment business	0	26.993.983

	31 March 2025	31 December 2024
	Total Amount (Euro)	Total Amount (Euro)
F. PROFIT OR LOSS ON EXCHANGE RATES		
F1. HEDGING TRANSACTIONS		
F1.1 Realised gains or losses		
F1.2 Unrealised gains or losses		
F2. OTHER TRANSACTIONS		
F2.1 Realised gains or losses		
F2.2 Unrealised gains or losses		
F3. CASH AND CASH EQUIVALENTS		
F3.1 Realised gains or losses		
F3.2 Unrealised gains or losses		
G. OTHER OPERATING TRANSACTIONS		
G1. INCOME FROM REPURCHASE AGREEMENTS AND SIMILAR TRANSACTIONS		
G2. INCOME FROM SECURITIES LENDING		
Gross operating profit (loss) from operating transactions		
H. FINANCIAL EXPENSES		
H1. INTEREST EXPENSES ON FINANCING		
H1.1 mortgage loans		
H1.2 other financing		
H2. OTHER FINANCIAL EXPENSES	(8)	(156)
Net profit (loss) from core business	(8)	26.993.827
I. OPERATING CHARGES		
I1.1 SGR management commissions class A units	(382.964)	(1.861.767)
I1.2 SGR management commissions class B units		
I1.3 SGR management commissions class C units	(321)	(1.562)
I2. Administration Costs	(5.000)	(20.000)
I3. Custodian bank commissions	(8.519)	(37.984)
I4. Independent expert fees		
I5. Publishing costs		
I6. Other operating charges	(5.084)	(781.899)
L. OTHER REVENUES AND EXPENSES		
L1. Interest income on liquid funds	26.232	35.713
L2. Other revenues		
L3. Other expenses	(1)	
Operating loss before tax	(375.665)	24.326.328
M. TAX		
M1.1 Substitute tax class A units		
M1.2 Substitute tax class B units		
M1.3 Substitute tax class C units		
Total tax payable		
M2.1 Tax saving class A units		
M2.2 Tax saving class B units		
M2.3 Tax saving class C units		
Total tax saving		
M3.1 Other taxes class A units		
M3.2 Other taxes class B units		
M3.2 Other taxes class C units		
Profit for the year class A units	(358.309)	23.202.452
Profit for the year class B units	(17.055)	1.104.415
Profit for the year class C units	(301)	19.461
Total profit for the year	(375.665)	24.326.328

Capital Account

Progressio Investimenti III fund as of 31 March 2025

CAPITAL ACCOUNT VALUATION ACCORDING TO EVCA PRINCIPLES

	Current Period 31/03/2025		Prior period 31/12/2024	
Capital Committed	250.000.000	100,00%	250.000.000	
Capital contributed for the prior periods	195.832.523	78,33%	193.969.194	77,59%
Capital distributed for the prior periods (*)	-195.832.523	-78,33%	-161.078.269	-64,43%
Capital contributed for the period	383.285	0,15%	1.863.329	0,75%
Capital distributed for the period	-5.145.923	-2,06%	-34.754.253	-13,90%
Net Capital Contributed by Investors	-4.762.637	-1,91%	-0	0,00%
Operating loss prior periods	(32.250.823)		(29.583.168)	
Realised gains/losses prior periods	53.710.308		41.216.358	
Gains/losses on revaluation prior periods	108.321.002		100.878.171	
Operating loss for the period	(375.665)		(2.667.655)	
Realised gains/losses for the period	0		12.493.950	
Gains/losses on revaluation	739.239		7.442.831	
Value of fund at the reporting date	125.381.424		129.780.487	
Represented by:				
Value of current portfolio	125.318.512		124.579.273	
Current assets	872.889		5.262.198	
Current liabilities	(809.977)		(60.984)	
Value of fund at the reporting date (NAV)	125.381.424		129.780.487	
Carried Interest Accrual (CI) *	26.028.812		25.956.097	
NAV net of Carried Interest Accrual	99.352.612		103.824.390	
Unit value (class A) net of CI	399,76		417,626	
Unit value (class B) net of CI	354,99		373,689	
Unit value (class C) net of CI	-		-	

Note(*): The provision for carried interest is calculated taking into account the cash already distributed from the fund and the unrealized fair value of its assets in accordance with the terms of the limited partnership agreement.

Drawdown & Distribution Details

Please refer to the file provided together with this report for Investor specific information.

GP Fees, Carried Interest and Fund Operating Expenses

Amounts earned by the GP by the Fund and Portfolio Companies

During the reporting period (Q1 2025) and since inception the Fund paid/accrued respectively Euro 0,4 million and Euro 28.0 million of Management Fees to Progressio.

Fund operating expenses

Since inception the Fund paid Euro 4.6 million (Euro 0.02k during Q1 2025) as operating expenses and costs of which Euro 0,9 million for set up costs and Euro 0,8 million for Fund aborted cost.

	Q1 2025	Inception to 31 March 2025
Management Fees		
Gross management fees	383.285	28.008.701
Transaction and other fees offset	-	-
Net Management Fees	383.285	28.008.701
Transaction and other Fees		
Transaction fees	-	-
Underwriting fees	-	-
Monitoring fees	-	-
Directors fees	-	596.697
Other fees	-	-
Total benefit/fees paid from portfolio companies to the GP	-	596.697
Carried interest		
Hurdle rate exceeded	Yes	
Distributions sufficient to trigger carry payments	No	
Carried interest earned from realisations	-	-
Carried interest paid	-	-
Carried interest earned but not distributed (escrow)	-	-
Carried Interest accrued	26.028.812	-

Note: amounts paid to the GP in the period

	Q1 2025	Inception to 31 March 2025
Fund operating expenses and costs		
Audit fees	3.632	103.501
Tax	0	0
Legal	0	86.072
Custodian bank	8.519	258.789
Other expenses (1)	6.461	2.349.590
Fund operating expenses	18.612	2.797.952
Setup cost (2)	0	872.219
Aborted deal cost	0	797.111
Bridging interest	0	98.150
Bridging fees	0	84.194
Fund expenses and costs	18.612	4.649.626

Note (1): the amount includes the transaction cost related to the investment and divestment of the fund.

Note (2): from the inception the total amount of Setup Costs net of VAT is equal to Euro 719.071.

Fund Bridge and Leverage Facilities

During the reporting period (Q1 2025) any leverage facility has been provided to the Fund and therefore as of 31st March 2025 no Fund bridge and leverage facility is in place.

Related Party Transactions and Conflict of Interest

None.

INVESTMENT PORTFOLIO INFORMATION

Portfolio Summary

From its establishment to 31st December 2024, the Fund has made eight investments with a total Cost of Euro 166.1 million, acquiring: Save The Duck (March 2018), Gampack (January 2019), Gelit (May 2019), Damiano (July 2019), Polenghi Food (August 2019), Interni (October 2019), Assist Digital (December 2020) and ATK Sports (May 2021). The average equity ticket on PI III entire portfolio is Euro 20.7 million while the average holding period is approximately 4.3 years.

From its inception to 31st December 2024, the Fund has made four divestments (Interni, Save the Duck, Assist Digital and Gelit) having distributed to the investor Euro 195.8 million.

Name	Entry date	Exit/Value date	Holding period	Country	Sector	Position	% ownership
Save The Duck	Mar-18	Apr-22	4,1	Italy	Lifestyle	Majority	61,2% (1)
Gampack	Jan-19	Jun-23	6,2	Italy	Industrial&Mechanical	Majority	68,5%
Gelit	May-19	Jun-23	5,5	Italy	Food & Beverage	Co-Lead	33,9%
Damiano	Jul-19	Jun-23	5,7	Italy	Food & Beverage	Majority	66,4%
Polenghi Food	Aug-19	Jun-23	5,7	Italy	Food & Beverage	Influential Minority	38,7%
Interni	Oct-19	Nov-21	2,2	Italy	Lifestyle	Majority	70,0%
Assist Digital	Dec-20	Apr-23	2,3	Italy	Digital	Influential Minority	24,5% (2)
ATK Sports	May-21	Jun-23	3,8	Italy	Lifestyle	Majority	65,0%

Note(1): PI III held 61.2% stake in Lhotse S.p.A. (formerly Anas), which owned 68.5% of the share capital of Save The Duck S.r.l. (formerly Forest) after the reverse merger in this latter company of the holdings Save The Duck S.p.A. and Dimensioni S.r.l.

Note(2): PI III holds a 81.8% stake in Wide Open S.r.l., which owned 30.0% of the share capital of Assist Digital S.p.A.

Name	Status	Cost	Proceeds	Unrealised Value	Total Value	MOIC	IRR
Save The Duck (1)	Realized	18,0	54,8	-	54,8	3,0x	31,5%
Gampack (2)	Unrealised	16,3	0,0	9,5	9,5	0,6x	n.s.
Gelit (3)	Realized	17,9	40,8	-	40,8	2,3x	16,1%
Damiano	Unrealised	30,3	0,0	27,7	27,7	0,9x	n.s.%
Polenghi Food (4)	Unrealised	19,5	0,0	37,1	37,1	1,9x	12,0%
Interni	Realized	24,5	40,5	-	40,5	1,7x	26,0%
Assist Digital (5)	Realized	24,5	67,0	2,4	69,4	2,8x	59,3%
ATK Sports	Unrealised	14,8	0,0	48,6	48,6	3,3x	36,3%
Total		165,8	203,0	125,3	328,3	2,0x	19,6%

Note: data in Euro million

Note (1): the difference between the Cost (Euro 18.0 million) and the amount drawn (Euro 17.9 million) was due to the fact that the price of the shares syndicated to co-investors in March 2019 was higher compared to the initial cost, in order to cover the legal expenses, interest paid for the bridge loan and the hurdle rate. As per art. 7.8 of the Management Rules, the amount cashed-in from to the syndication to the co-investors has been returned to investors, thus generating the difference mentioned above.

Note (2): the total amount drawn for Gampack is equal to Euro 13.8 million while the cost is Euro 14.0 million, the difference (Euro 200k) is the amount pay to acquire the shares from a leaving manager of Gampack, that has been financed using the overfunding amount called to finance the investment in Gelit (see the note below).

Note (3): the total amount drawn for Gelit is equal to Euro 18.6 million while the cost is Euro 17.9 million. The difference Euro 735k, initially called to finance a potential price adjustment envisaged by the SPA which was

based on the actual net financial position at closing, has been used to finance set up cost for the fund (Euro 235k), to acquire the shares of Gampack S.r.l. (Euro 200k) from a leaving manager and the residual amount left at fund disposal to face past and future fund expenses.

Note(4): the total committed capital for the investment in Polenghi Food is Euro 20.0 million of which Euro 19.5 million for the share purchase and Euro 0,5 million to finance part of the transaction costs.

Note(5): the difference between the Cost (Euro 24.5 million) and the amount drawn (Euro 24.4 million) is due to the combination between 1) the capital gain incurred from sale of the shares syndicated to co-investors in August 2021 (Euro 200k) and 2) Euro 100k initially called to the investors not injected in the company and afterwards used to finance the costs for the syndication (Euro 26k) and the residual amount left at fund disposal to face fund expenses. On March 30th 2023 the company has been sold generating total proceeds for Euro 69.3 million. The Unrealised value of Euro 2.3 million refers to the Deferred Consideration of ca. Euro 2.3 million which will be recognized at the prior of (x) 7 year from the closing and (y) the exit of Ardian. Please refer to Portfolio Asset Detail section for more details.

Investments breakdown by Investment Stage	Cost	
	Euro Mln	% onTot
Unrealised Investments	80,9	48,8%
Realised Investments	84,9	51,2%
Total Investments	165,8	100%

Unrealised Investments	Cost	
	Euro Mln	% onTot
Gampack	16,3	16,5%
Damiano	30,3	30,7%
Polenghi Food	19,5	19,8%
ATK Sports	14,8	15,0%
Total Unrealised Investments	80,9	100%

Unrealised Investments by Sector	Cost	
	Euro Mln	% onTot
Lifestyle	14,8	18,3%
Healthcare	-	-
Industrial&Mechanical	16,3	20,1%
Food & Beverage	49,9	61,6%
Digital	-	-
Other	-	-
Total	80,9	100%

Portfolio Asset Detail



WIDE OPEN S.r.l. in Liquidazione





Gampack

Portfolio company:	Gampack S.r.l.
Fund	Progressio Investimenti III
RECORD DATE:	31/03/2025
INVESTMENT DATE	31/01/2019
TYPE OF TRANSACTION	LBO
HEADQUARTER	Piacenza (PC)
HEADQUARTER (REGION)	Italy
% STAKE	68.51%
COMMITTED CAPITAL	16,253,139
INITIAL INVESTMENT	8,450,000
FOLLOW-ON	7,803,139
TOTAL INVESTMENT	16,253,139
OF WHICH SHARE CAPITAL	11,450,000
OF WHICH SHAREHOLDERS' LOAN	4,803,139
OF WHICH CONVERTIBLE BOND	0
REALIZED CAPITAL	0
TYPE OF COMPANY	Private
DEAL SOURCE	Proprietary - M&A advisors
BUSINESS ACTIVITY	Sale of secondary packaging machines
POSITION	Majority
# PERSONNEL (FTE)	90
END MARKETS	13% Italy, 56% Europe, 12% UK, 19% RoW
AUDITOR	KPMG
EXIT DATE	n.a.
WEB SITE	www.gampack.com

Shareholding Structure Gampack S.r.l.:

Progressio Investimenti III	68.51%
Giuseppe Gazzola ⁽¹⁾	23.61%
Luciano Gandini ⁽¹⁾	5.88%
Granelli Fulvio e C. s.a.s. ⁽²⁾	1.0%
Nextera S.r.l. ⁽²⁾	1.0%
Total	100.0%

Note(1): Gampack vendors

Note(2): Futura Robotica vendors

Management:

Operating Chairman
General Manager

Giuseppe Gazzola
Giuseppe Cinefra

Company description:

Founded in 2004 and headquartered in Piacenza, Gampack is active in design, developing and manufacturing of machineries for secondary and end-of-line packaging solutions (shrink wrappers and cardboard packers) mainly focused on the beverage sector. Due to the solidity, reliability and speed of its machines and to the high level of service provided to the customer, the Company has established a specific niche and is a prominent player in the sector.

With the acquisition of Futura Robotica - focused on the development of fully robotized and customized end-of-line machines – whose integration was started in 2020 and fully completed in 2021, Gampack widened its products range approaching new geographies and new clients.

The Company has a highly flexible production, being focused on R&D (customization of the solutions for the customer) and assembly.

Investment thesis:

- Strong product know-how and growth potential. The entrepreneur (Mr. Gazzola) had developed a very good product, fast and reliable, but - focusing on a single sector (beverage) with a sole part of the production line (secondary packaging) on limited geographies (Spain, France and Italy) and without a proper sales network – he did not fully exploit the Company's growth potential
- Business development opportunities. With the support of Progressio and an experienced management team, the Company will have room to grow in different directions:
 - geographies: consolidation of current markets and opportunities to penetrate other Mediterranean countries, Eastern Europe, Latin America and Far East
 - sectors: possibility to enter in interesting new destination markets, such as cosmetics, pharma and food, thanks to the high quality of the machines and the strong know-how
 - products: opportunity to broaden the range with other component (palletizers, conveyors), making Gampack a provider of "end-of-line" solutions
 - other revenues: opportunity to increase both margins and customer satisfaction by promoting ancillary services such as after sale services and spare parts sale
- Add on opportunities. At the end of Q2 2020 pursued, through its own controlled company Futurapack, the business rent of Futura Robotica ("Futura"), and the subsequent acquisition in November 2021, a company active in the secondary packaging machines with a focus on flexible turn-key solutions. Futura produces automatic end-of-line machines, from secondary packaging to palletizing and de-palletizing; food is the core sector, but during the years Futura has developed solutions for other industries such as Coffee, Pharma, Pet Food, Cosmetics. Its geographic markets are Italy, France, Eastern Europe, Northern Europe, USA.

Description of the target market:

Italy and Germany are the world leaders in the production of packaging machinery, with revenues for about Euro 8bln each (80% of export for Italy) and a 50% market share.

The Italian machines are renown for high level of technology, quality and flexibility, while the producers are appreciated for their availability for customization and the fast after-sales support.

The companies are mainly based in Northern Italy (the area near Bologna and Parma are known as the "Packaging Valley").

The first reference sector is food and beverage (which accounts for around 60% of the industry's turnover) followed by pharmaceuticals, cosmetics and toiletries (just under 25%). The rest includes various sectors, such as chemicals/petrochemicals and tissues.

Financial Information:

Euro/mln	Actual 2021	Actual 2022	Actual 2023	Actual 2024	Budget 2025	Actual Q1 2024	Actual Q1 2025
Revenues	15.7	17.4	16.9	26.8	28.4	6.9	3.8
% YoY		10.8%	-2.4%	58.3%	5.8%		-45.5%
EBITDA Adj. (1)	1.7	2.8	2.2	3.4	4.1	0.6	0.3
EBITDA Margin %	10.6%	15.9%	12.9%	12.8%	14.5%	9.3%	8.5%
EBIT (2)	(2.0)	(1.0)	(1.6)	(0.4)	0.5	n.a.	n.a.
EBIT Margin %	-12.8%	-6.0%	-9.2%	-1.5%	1.6%	n.a.	n.a.
Earnings / (Loss) of the year	(2.3)	(3.5)	(3.8)	(1.4)	(0.7)	n.a.	n.a.
% on Revenues	-14.8%	-20.4%	-22.2%	-5.2%	-2.6%	n.a.	n.a.
Net Debt (Cash) (3)	15.3	14.2	11.5	10.5	9.0	13.1	11.1

Note (1): adjustments mainly include i) in 2021, extraordinary costs related to the acquisition of Futura business and additional costs related to some Futura Robotica orders that were inherited by Futurapack implying extra costs to solve problems with important clients; ii) in 2022, a difference in inventory estimates that highlighted Euro 1,1 million of higher EBITDA and ceasing costs related to dismissed employees; (iii) in 2023 and 2024, extraordinary and ceased costs related to the completion of the reorganization as part of Futura Robotica integration and other minors related to the waivers obtained from the banks across the period

Note(2): EBIT is affected by goodwill amortization of 2019 LBO and Futura Robotica acquisition

Note(3): Net Debt includes (i) the residual amount of the acquisition financing borrowed in 2019 to complete the transaction and (ii) from 2021 onwards, the deferred consideration for the acquisition of Futura Robotica business from bankruptcy procedure which originally amounted to Euro 2.8 million which was paid through semi-annual installments in 3 years. In November 2024, Gampack paid the last installment of the deferred consideration.

Company updates:

- In 2024 Gampack generated revenues of Euro 26.8 million (+ 58.4% compared to the previous year), of which Euro 20.5 million related to machines sales and Euro 6.3 million related to after-sales activity (spare parts and services), with an EBITDA Adjusted of Euro 3.4 million (compared to Euro 2.2 million in 2023)
- The positive performance achieved by the Company was mainly driven by (i) general market recover started from the second half of 2023, following a stabilization in energy costs which favoured an increased demand from potential customers; (ii) the distinctive positioning of the Company which, following the add-on acquisition, across the last year months was awarded several flagship projects on an international basis; (iii) a proper revenues mix made of single-module machines (standardized solutions with relatively short

lead-times of 2-4 months) and fully integrated solutions also including the robotics technology with (high-level of customizations thus implying longer backlog's coverage); (iv) increased revenues generated by the post-sales activity, which represents a profitable stream of recurrent revenues for the Company

- On 31 December 2024, Gampack registered a Net Debt of Euro 10.5 million, showing a cash generation of ca. Euro 1 million across the year notwithstanding the net working capital dynamics which was affected by raw materials and components purchases to support the incremental business volumes generated
- It should be noted that during 2024 the Company fully repaid the deferred consideration for the acquisition of Futura Robotica business, originally amounting to Euro 2.8 million, of which Euro 943 thousand remaining at 31 December 2023. With the last installment paid in November 2024, the counter-guarantees made available by Gampack's shareholders to illimity (the bank which issued the guarantee towards the sellers of Futura Robotica) were fully released
- In Q1 2025 the Company generated revenues of Euro 3.8 million with an EBITDA of Euro 0.3 million registering a Net Debt of Euro 11.1 million at 31 March 2025. Q1 performance – given the limited time frame – is not meaningful, as it is directly influenced by the timing of the backlog deployment. The slight increase of Net Debt in Q1 2025 was mainly driven by the net working capital dynamics affected by the raw materials and components purchases to support the expected incremental business volumes in the year
- The order collection continued to be very positive, with Gampack boasting a backlog of ca. Euro 15 million at the end of March 2025 to be fully delivered within the current year. Additionally, the Company boasts a robust pipeline of ca. Euro 10 million under negotiation. The backlog, together with the recurring component of revenues generated by the after-sales services provided by Gampack - which in 2024 generated Euro 6.3 million in revenues – imply a positive outlook on 2025 performance
- 2025 budget envisages total revenues of Euro 28.4 million, of which Euro 22 million related to machines sales and Euro 6.4 million related to spare parts and after-sales services, with an EBITDA of Euro 4.1 million and an expected Net Debt of Euro 9 million at year end
- A key priority for the current year consists in consolidating the Company's growth trajectory, supported by the positive trend in recurring after-sales revenues, while further reducing leverage through strict cash flow monitoring. Profitability is expected to improve driven by revenue management initiatives implemented in Q1 2025, including (i) a pricing list review competed with a major client, which is already implying a positive margin impact, and (ii) a higher focus on value-added offering such as services and integrated solutions
- As regards the financial aspects, in January 2025 Gampack completed the refinancing of the original LBO acquisition financing being also provided with new working capital facilities. At the date of this report, the Company is carrying out discussions with several other banks to be provided with additional financing lines to support the increase in business volumes expected from Q2 2025 onwards according to the backlog deployment

Valuation:

Euro mln	Entry	31.03.2025	
<i>data</i>	<i>31/01/2019</i>	<i>2024A</i>	<i>2025B</i>
EBITDA Adjusted (1)	3.2	3.4	4.1
EV/EBITDA (2)	6.7x	7.2x	7.2x
Panel discount		10%	10%
EV/EBITDA discounted		6.4x	6.4x
EV	21.3	22.1	26.6
EV Average (3)		24.3	
Transaction costs	1.0		
Total Uses	22.3	24.3	
NFP adjusted (4)	9.8	10.5	
Equity 100%	12.5	13.8	

PROGRESSIO

% stake (5)	67.6%	68.5%
Cost (investment)	8.5	16.3
FMV (gross)	8.5	9.5
MOIC		0.6x

Note(1): EBITDA adjusted considering extraordinary and ceased costs

Note(2): the implied EV/EBITDA multiple of the valuation at entry is lower than average EV/EBITDA of resulting from comparable transactions equal to approximately 7.2x

Note(3): the valuation as of 31st March 2025 is based on the average EV resulting from 2024 actual figures and 2025 budget

Note(4): NFP at entry includes the Acquisition debt of Euro 10 million

Note(5): initial stake was equal to 69.5% and increased to 69.9% after the buyout of Mr. Scapin (resigned CEO) shares. Actual Fund's stake in the Company is equal to 68.5%, following the merger of Futurapack in Gampack, effective from November 2022

Sources & Uses at Entry (Euro mln)		
EV	21.3	Equity 12.5
TC	1.0	Bridge to cash 4.5
Net Cash	4.7	Acq. Fin. 10.0
Uses	27.0	Sources 27.0

Damiano



Portfolio company (1):	OrganiCo S.p.A.
Fund	Progressio Investimenti III
RECORD DATE:	31/03/2025
INVESTMENT DATE*	25/07/2019
TYPE OF TRANSACTION	LBO
HEADQUARTER	Torrenova (ME)
HEADQUARTER (REGION)	Italy
% STAKE (2)	66.5%
COMMITTED CAPITAL	30,333,333
INITIAL INVESTMENT	24,333,333
FOLLOW-ON	6,000,000
TOTAL INVESTMENT	30,333,333
OF WHICH SHARE CAPITAL	30,333,333
OF WHICH SHAREHOLDERS' LOAN	0
OF WHICH CONVERTIBLE BOND	0
REALIZED CAPITAL	0
TYPE OF COMPANY	Private
DEAL SOURCE	Limited Auction - M&A advisors
BUSINESS ACTIVITY	Production and sale of dried-fruit based products
POSITION	Majority
# PERSONNEL (FTE)	113
END MARKETS	43% Italy, 23% France, RoW 34%
AUDITOR	KPMG
EXIT DATE	n.a.
WEB SITE	www.damianorganic.it

Note(1): OrganiCo S.p.A. is the acquisition purpose vehicle that in July 2019, through the controlled company AlmondCo S.p.A., bought out Damiano S.p.A.

Note (2): considers just ordinary shares

Shareholding Structure OrganiCo S.p.A.(1):

Progressio Investimenti III	66.5%
Do Int Casa Agricola S.r.l.(2)	33.3%
Treasury Stock	0.2%
Total	100.0%

Note (1): Shareholding structure considers just ordinary shares (not considering extraordinary shares linked to the management incentive plan and with no voting rights). OrganiCo S.p.A. controls 100% of Damiano S.p.A.

Note(2): holding company of Riccardo Damiano, Group CEO

Management

CEO	Riccardo Damiano
Finance Director	Gloria Cucinella

Company description:

OrganiCo S.p.A. is the acquisition purpose vehicle established on 26th June 2019 to execute, through its 100% controlled company AlmondCo, the acquisition of the 100% of share capital of Damiano S.p.A. ("Damiano" or the "Group"). The transaction has been completed on 25th July 2019. As of today, Progressio owns 66,5% of OrganiCo, Riccardo Damiano (the entrepreneur and Group's CEO) owns 33,3% through Do Int Casa Agricola.

Headquartered in Torrenova (Messina, Sicily) and established in 1964, Damiano is engaged in the production and sale of organic dried fruit (strong expertise in almonds) and paste/cream products for a broad range of (i) specialized and non-specialized retail customers (ii) industrial food processing players and (iii) other clients (e.g. wholesalers and private clients)

In 2022, Damiano bought out the 85% of DeAngelis ("DeAngelis" or "Dea"), a producer of organic fruit spreads mainly for private label business, headquartered in Viterbo (VT).

Approximately 80% of revenues are generated abroad with US and France as main countries

Investment thesis:

- Sizable and fast-growing market. Addressable Industrial market is worth ~Euro 3.5billion (related to the key markets for Damiano). In the Retail business, the organic segments of selected products categories show higher growth pace than not organic; ~Euro 1.4 billion as addressable market value in 2018
- Leading position. Damiano is well positioned both in the retail business, with high-end portfolio products, as well as in the Industrial business, leveraging strong and lasting relationships with key clients. Top-tier and highly sticky customer portfolio: Top-10 customers are very loyal with an average sale ticket steadily growing
- Company performance. A compelling history of growth over time: Group's revenue has increased at a constant rate (CAGR 2016-2018: +7.8%, 2012-2018: +15.8%)
- Best in class in operations. Well-invested manufacturing facilities and optimized supply chain processes; moreover, planned Capex for the new production site will enhance many of identified issues
- Sustainable Business Plan with solid growth (primarily driven by volume increase) and viable like-for-like performance
- Significant potential "upside" opportunities identified for additional growth (not included in Business Plan) addressable via (i) organic growth mainly by enhancing the presence in new channels and countries, targeting new clients and offering larger product portfolio and (ii) M&A activities by targeting synergic companies covering different clients/products/countries

Description of the target market:

Based on findings from the business due diligence carried out during the investment process, Damiano's industrial reference market is overall divided in two main segments: Bulk and Semi-finished products. Three end-markets across three different countries were considered to evaluate Damiano's market potential: Plant based Beverage, Snack & Bars, Biscuits in Italy, USA and France. According to nuts incidence on end-products, market potential for Damiano is around Euro 3.5 billion. All selected industrial end-markets and geographies stand out as very attractive, with sizeable market values and strong growth trends

Damiano's retail reference market in Italy, France and USA has been estimated focusing on four products categories: nuts, mixed nuts, spreads and snacks. The organic segments

of the selected product categories show overall a higher growth rate than reference traditional market with a ~ Euro 1.4 billion market value

Financial Information:

	Actual	Proforma (4)	Actual	Actual	Budget	Actual	Actual
Euro/mln	2021	2022	2023	2024	2025	Q1 2024	Q1 2025
Revenues	39.5	48.0	51.5	62.8	63.1	14.9	17.6
% YoY		21.5%	7.4%	21.8%	0.5%	n.a.	18.2%
EBITDA (1)	4.6	4.3	5.0	5.4	5.8	1.2	1.1
EBITDA Margin %	11.7%	8.9%	9.8%	8.6%	9.2%	7.9%	6.1%
EBIT (2)	1.8	0.7	(2.1)	(2.6)	n.a.	n.a.	n.a.
EBIT Margin %	4.6%	1.5%	n.m.	n.m.	n.a.	n.a.	n.a.
Earnings / (Loss) of the year	1.0	(1.2)	(4.7)	(5.2)	n.a.	n.a.	n.a.
% on Revenues	2.6%	n.m.	n.m.	n.m.	n.a.	n.a.	n.a.
Net Debt (cash) (3)	19.6	21.2	20.0	26.2	23.0	22.1	29.3

Note(1): EBITDA adjusted for extraordinary and non-recurring costs

Note (2): EBIT affected by goodwill amortization

Note(3): Net Debt includes the Acquisition Financing used for the transaction in 2019

Note (4): 2022 results proforma to include Dea's results (acquisition completed in Dec-22)

Company Updates:

- In FY2024 the Group continued its evolutionary process from an industrial perspective: the new shelling plant in Damiano has been activated and is enabling the Company to partially disintermediate third party shellers and direct access to almonds' farmers. As a result of vertical integration, the Group strengthened and increased the sourcing activity through direct commercial relationships with numerous farmers in Sicily and Puglia (the main organic and natural almond production hubs worldwide) aiming for their loyalty and incentivizing them to promote certified crops highly demanded by Damiano's customers. Purchases from these strengthened partnerships increased starting from Aug-24 crop, granting Damiano access to premium quality raw materials that are highly requested by customers
- In FY2024, Damiano reported Euro 62.8 million revenues, +21.8% vs. FY2023 driven by growth across all the channels served by the Company and continuing to benefit from the Damiano/DeA commercial synergies. Such fast paced growth had different impacts across the commercial channels served by the Company: (i) in B2C Private Label, the Group registered a significant ramp-up of volumes to blue chips names and significant new client wins with high volumes and good marginality; (ii) in B2C Brand, despite selected clients show high volumes and good marginality, on several recently acquired names the Damiano registered poor margins driven by excessive discounts and a delay in the implementation of a revised price list; (iii) in B2B, similarly, selected customers show strong volumes at acceptable margins (typical of this segment), while some underperforming clients with low margins and volumes have been identified and are being phased out
- An increasing complexity has been identified in terms of number of customers and SKUs which has contributed to production inefficiencies over the course of FY2024; as a consequence, EBITDA in FY2024 stood at Euro 5.4 million (vs Euro 5.0 million in FY2023), with a decrease in marginality (i.e. ca. 8.4% EBITDA margin in FY2024 vs 9.8% in FY2023) driven by such complexity and also (i) the start-up process of the shelling plant, and (ii) an increase in raw material prices in the second part of the year, with delays in the pass-

through to clients particularly in the B2C Brand segment. The Company reacted with price increases implemented in Q4, from which benefits are expected in 2025.

- NFP as of September 31st 2024 stood at Euro 26.2 million (vs Euro 20.0 million as of December 31st 2023) mainly impacted by the investments (which also registered some delays and extra costs) in the (i) completion of the shelling plant, (ii) upgrading of Dea's plant and (iii) upgrading of production lines needed for serving new Top Tier customers, but also due to (i) the lower than expected marginality detailed above, and (ii) by the cash absorption from the working capital needs linked to the explosion of customers and SKU, which is being addressed by management as mentioned above.
- Preliminary budget for FY2025 foresees revenues for Euro 63.1 million (in line with Euro 62.8 million realized in FY2024) and EBITDA of Euro 5.8 million (i.e. 9.2% margin vs. ca. 8.4% in FY2024) as the Company is expected to focus on its profitability profile, continuing to register growth on recently acquired valuable customers but also ceasing to serve the least profitable ones through the recently imposed minimum volumes and revised prices. NFP in Dec25 is expected at Euro 23.0 million, as the Company returns to a deleverage path after the investment-heavy recent years
- In Mar25, Damiano decided to interrupt the relationship with the GM Scaccaglia, within the trial period of the manager. Progressio, in agreement with the entrepreneur Riccardo Damiano, is leading a selection process to identify a new CEO
- In Q1 2025 Damiano reported Euro 17.6 million revenues, +18.2% vs. Q1 2024 driven by growth across all the channels served by the Company, while EBITDA in Q1 2025 stood at Euro 1.1 million (vs Euro 1.2 million in Q1 2024), i.e. ca. 6.1% EBITDA margin in Q1 2025 vs 7.9% in Q1 2024 with these unsatisfactory results not yet benefitting of the recently implemented commercial actions to reduce complexity and focus on profitable volumes/customers. NFP rose to Euro 29.3 million (vs Euro 26.2 million as of Dec24) due to the lower margins, extra capex and working capital abnormal increase detailed above and being addressed by management. Please note that a part of the negative impact stems from an extraordinary inventory peak in March 2025 (approximately Euro 2.0 million), due to specific raw material deliveries that occurred during this period. Progressio is actively involved in the periodical monitoring of the NFP developments and cash generation perspectives over the coming months, working with management to identify and promote the implementation of initiatives to free-up cash from working capital and accelerate margin improvements. Damiano's shareholders are evaluating alternatives to potentially support temporary short-term liquidity needs of the business

Valuation:

Euro mln	Entry	31.03.2025		Sources & Uses at Entry (Euro mln)		
<i>data</i>	<i>25/07/2019</i>	<i>2024A</i>	<i>2025B</i>	Purchase Price	47.3	Equity 36.5
EBITDA Adjusted (1)	4.8	5.4	5.8	Transaction Cost	1.8	Acq. Finan. 13.0
EV/EBITDA (2)	10.0x	14.3x	14.3x	Rolled Debt	0.8	Rolled Debt 0.8
Panel discount		10%	10%	Overfunding	0.4	
EV	48.0	69.7	74.5	Uses	50.3	Sources 50.3
EV Average (3)		72.1				
TC and overfunding	2.3					
Total Uses	50.3	72.1				
NFP adjusted (4)	13.8	29.3				
Minorities (5)	-	1.2				
Equity 100%	36.5	41.6				

PROGRESSIO

% stake	66.7%	66.5%
Cost (investment)	30.3	30.3
FMV (gross)	30.3	27.7
FMV (net of SOP)	30.3	27.7
MOIC	-	0.9x

Note(1): entry EBITDA adjusted according to due-diligence findings; 2024 EBITDA adjusted for extraordinary

Note(2): average transaction multiples

Note(3): the valuation is based on average EV resulting from 2024 actual figures and 2025 preliminary budget figures

Note(4): NFP as of Mar-25

Note (5): shareholders agreement with Manuela De Angelis envisages a Put&Call option at fixed price of Euro 1.2 million for the 15% minority she holds in DeAngelis S.r.l.

Polenghi Food

Portfolio company:	Polenghi Food S.r.l.
Fund	Progressio Investimenti III
RECORD DATE:	31/03/2025
INVESTMENT DATE	01/08/2019
TYPE OF TRANSACTION	Share Purchase
HEADQUARTER	San Rocco al Porto (LO)
HEADQUARTER (REGION)	Italy
% STAKE	38.73%
COMMITTED CAPITAL (1)	20,000,000
INITIAL INVESTMENT (1)	20,000,000
FOLLOW-ON	0
TOTAL INVESTMENT	20,000,000
OF WHICH SHARE CAPITAL (1)	19,532,531
OF WHICH SHAREHOLDERS' LOAN	0
OF WHICH CONVERTIBLE BOND	0
REALIZED CAPITAL	0
TYPE OF COMPANY	Private
DEAL SOURCE	Proprietary - M&A advisors
BUSINESS ACTIVITY	Production and sale of lemon and lime juice for the food dressing market
POSITION	Influential Minority
# PERSONNEL (FTE)	200
END MARKETS	75% Europe, 19% US, 6% Asia
AUDITOR	KPMG
EXIT DATE	n.a.
WEB SITE	www.polenghiigroup.it

Note(1): the total committed capital of Euro 20.0 million includes Euro 19.5 million for the share purchase and Euro 0.5 million to finance the transaction cost

Shareholding Structure Polenghi Food S.r.l. (2):

Progressio Investimenti III	38.73%
Polenghi Group S.p.A. (3)	60.57%
Marco Polenghi	0.11%
Filippo Scandellari	0.55%
Alberto Bonini	0.05%
Total	100.0%

Note(2): After the merger between Polenghi Food S.p.A. (holding company, target of the original investment by Progressio) in Polenghi LAS S.r.l. (operative company, then renamed as Polenghi Food S.r.l.) the capital is composed by quotas and not by shares anymore (the new by-laws grants the same rights to the quotaholders as before)

Note(3): Polenghi Group S.p.A. is the holding company of the Polenghi family

Management

Group CEO)	Filippo Scandellari
Commercial Director	Marco Polenghi
CFO	Alberto Bonini

Company description:

Established in 1976 and headquartered in San Rocco al Porto (LO), Polenghi is a leading player in the bottling and sale of lemon juice for the food dressing market both under own brands (47%) and private label (53%), distributed mainly through the large retailers (ca 75%, as Lidl, Carrefour, Costco etc). Since the group grew by acquisitions across EU, its product portfolio also includes ancillary SKUs such as *dosettes* (single portion of creams, condiments/seasonings), condiments (olive oil, vinegar, soya sauce) and chocolate truffles. The group - recognized worldwide as the "lemon juice specialist" - is an export-oriented company, generating more than 90% of revenues abroad with consolidated positions in US, France and UK. It operates through 3 production plants (2 in Italy, 1 in the USA, 1 in Belgium and 1 in the Netherlands) and 5 commercial subsidiaries (France, Netherlands, USA, Canada and UK).

Investment thesis:

- Brand equity and leading position. Polenghi benefits from a consolidated presence in international markets (over 90% of export - over 80 different countries - with strong positions in US and France) and a well-positioned brand portfolio (branded products represent around 47% of the total revenues). It leverages on a strong customer base, having long lasting relationships with the 20 top mass retailers worldwide (Carrefour, Auchan, Lidl, CostCo, etc...)
- Plants, know-how and R&D. Polenghi, thanks to its 5 plants around the world, benefit from a flexible production layout which, due to recent capex, shows state-of-the-art technologies with spare capacity available. The group produces internally part of its packaging consumption and – thanks to a strong know how developed during the years – benefits from competitive advantages linked with both technologies and costs
- Management team. Marco Polenghi is an experienced entrepreneur with a deep knowledge of the business and the market with a strong expertise in sale and marketing. In addition, Filippo Scandellari has been appointed in Q1 2020, as new Group CEO, to refine the group's strategy and consistently develop the business across different geographies, leveraging on its marketing and commercial skills. Filippo Scandellari will also complete the aggregation/reorganization process of the group from the operational point of view while Marco Polenghi will focus its efforts on the US business
- Business development opportunities. The management team has identified several opportunities to further develop international markets both following the growing trend mainly driven by the organic products and – in general – the healthy food, gaining market shares from local players. The top priority country for the future development is US. The *dosettes* business shows interesting growth opportunities and will boost the BTB channel. In addition, due to a strong market fragmentation, there are several potential add-on opportunities. The bolt-on strategy aims at acquiring brands with a leading positioning, new customers or increasing the coverage of specific geographies

Description of the target market:

The global condiments market accounts for approximately Euro 140 billion. Oils (56%) and Sauces (33%) are the biggest segments of the market while lemon juice is included in other (6,4%) and weights approx. 1% on total

With reference to lemon juice, each country shows different consumer habits and there is a growing trend in all the main geographies. The most important market is US with Euro 170 million; it is worth more than 6 times the French one and almost 16 times the Italian market (volumes). France is the fastest growing market and has the highest organic market share. The Italian market is relatively small because of cultural food habits and still dominated by fresh lemon. Notwithstanding the above, the market is growing and Italy remains an attractive country for Polenghi business since the company is the worldwide leader in the marketing of Sicilian lemon juice

Financial Information:

	Actual	Actual	Actual	Actual	Budget	Actual	Actual
Euro/mln	2021	2022	2023	2024	2025	Q1 2024	Q1 2025
Revenues	76.1	90.7	91.5	98.9	102.6	24.5	25.2
% YoY	3.0%	19.2%	0.8%	8.1%	3.7%	0	3.1%
EBITDA Adj. (1)	6.9	8.1	9.1	13.7	14.7	3.3	3.8
EBITDA Margin %	9.0%	8.9%	9.9%	13.9%	14.3%	13.3%	14.9%
EBIT (3)	1.9	1.7	2.3	7.2	n.a.	n.a.	n.a.
EBIT Margin %	2.5%	1.8%	2.5%	7.3%		n.a.	n.a.
Earnings / (Loss) of the year (2)	0.3	0.8	(0.1)	5.3	n.a.	n.a.	n.a.
% on Revenues	0.3%	0.9%	-0.1%	5.4%		n.a.	n.a.
Net Debt (cash)	14.6	12.5	9.4	5.8 (3)	2.5	8.8	9.9

Note(1): EBITDA adjusted for extraordinary and/or non recurring cost such as (i) restructuring costs for exceeding personnel and/or a temporary increase in personnel cost because of overlapping of new entrants and leavings; (ii) temporary increases in freight/logistic cost particularly in/for US, after the pandemic; (iii) one-off promotional discount. The adjustments performed in FY23A consist in the normalization of the ceasing cost related to shutting down the production plant located in the US occurred in the 1H2024

Note(2): EBIT and Earnings not available for interim period and budget 2025 due to depreciation and amortization complex accruals procedures on consolidated basis

Note (3) NFP as of 31 December 2024 has been impacted by 1° tranche of the deferred purchase price for the acquisition of Meroso (Belgian controlled company) minority (Euro 3.2 million)

Company updates:

- In FY2024, Polenghi generated revenues of Euro 98.9 million, registering an increase of 8,1% compared to FY23A. From a topline perspective, the Group's growth is well distributed across different geographical areas. Furthermore, in line with the strategy to strengthen Polenghi's direct presence in key markets, two new commercial branches have been opened in Canada and UK.
- From operations point of view, the management team continued to focus on optimizing processes and enhancing the efficiency of production facilities through dedicated actions. These efforts significantly contributed to the profitability improvement registered in FY24. Additionally, the closure of the production plant in Florida led to a substantial reduction in fixed costs, positively impacting the Group's profitability. Indeed, customers (primarily based on the East Coast), who were previously served by the US production facility, are now supplied from Italy, resulting in an additional efficiency improvement.

- The Net Financial Position as of December 31st, 2024, stood at Euro 5.8 million (vs Euro 9.4 million in 2023). It is worth mentioning that the Group's Net Financial Position at Dec-24 is significantly affected by the advance payment of the acquisition of the minority stake (20%) of Meroso (see below for further comments), resulting in a negative impact of Euro 1.0 mln on the NFP. Indeed, by neutralizing the advanced payment for the acquisition of Meroso, the Company's NFP 2024 would stand at Euro 4.8 million, a significant improvement supported by a good cash generation registered by the Group of ca. Euro 4.6 million, despite reporting Net Capex of ca. Euro 4.2 million (vs. Euro 3.0 million in FY23), mostly related to investments in plant and equipment
- In the 1Q 2025 Polenghi's net sales stood at Euro 25.2 million, showing an increase of +3.1% compared to 1Q 2024 and +1% vs the budget, driven primarily by the growth registered in Europe (+7.7%) and Asia (27.0%). Among the Group's entities, Meroso and Siracuse France are the key growth contributor, respectively recording +9.6% and +18.2% topline growth compared to 1Q 2024
- In terms of marginality, in the 1Q 2025 the Group posted an EBITDA equal to Euro 3.8 million (EBITDA % of 14.9%), supported by improved operational efficiency and operating leverage. More specifically, The Group's emphasis on high-margin SKUs and the strategic redistribution of production across its international plants contributed to improve the marginality in 1Q 2025
- The Net Financial Position as of Mar-25 stood at Euro 9.9 million, significantly affected by the payment of the deferred purchase price (Euro 3.2 million) for the acquisition of the minority stake of Meroso. Please note that the NFP is also partially impacted by the NWC seasonality, which – as usual - results in a peak in such quarter of the year.
- FY25 budget figures show Polenghi posting Euro 102.6 million in revenues (+3.7% compared to FY24 Actual) and Euro 14.7 million of EBITDA, equal to an EBITDA margin of 14.3% (compared to Euro 13.7 million of EBITDA and 13.9% EBITDA margin in FY24 Actual). The increase of the EBITDA expected in 2025 is primarily driven by: (i) a further enhancement of the overall operational efficiency (ii) an effective revenue management implemented by the management team, based on high margin SKUs prioritization, and (iii) an operating leverage effect derived from higher sales
- As anticipated before, in December 2024 it has been completed the acquisition of the minority 20% of Meroso, the Belgium controlled company specialized in (i) bottling lemon and lime juice and (ii) chocolate truffles
- Following protracted negotiations during 2024 and 1Q 2025, the management team completed the acquisition of Nielsen Citrus Products ("Nielsen"), a US company specialized in the production of lemon juice-based products, mainly for B2B customers, located in the West Coast, an area of strategic importance due to the presence of key clients and the extensive lemon cultivation. In 2024, Nielsen generated revenues of \$8.7 million, with an EBITDA margin of 19.9%. The integration of the Target will enhance Polenghi's direct presence in the American market through a local industrial site and the penetration in the B2B & HoReCa channel, which is the primary industry covered by Nielsen. It is worth noting that Polenghi has already relocated equipment and machinery to the Nielsen production facility. The transaction involves the acquisition of 100% of the company's share capital for Euro 14.5 million (\$16.1 million), corresponding to an Enterprise Value of Euro 14.2 million (\$15.9 million). Based on the Target's 2024 EBITDA of Euro 2.1 million, the transaction would occur at an EV/EBITDA multiple of 6.8x. Regarding the funding, approximately 50% of the required amount through financing from Simest (a semi-equity instrument) with highly favorable pricing, while the remaining 50% has been financed through an amortizing loan from a primary financial institution.

- Polenghi Group FY2024 pro-forma results, including Nielsen acquisition, amounts to ca. Euro 106.8 million in revenues, ca. Euro 15.8 million in EBITDA and a NFP as of Dec-24 of ca. Euro 23.5 million.
- Moreover, the management team is currently evaluating other potential acquisitions, including a minority stake in a company specialized in plastic material blow molding (with a 2024 PC EBITDA of ca. Euro 0.6 million) and the majority of a Swiss lemon juice bottler (EBITDA ca Euro 1,5 – 2,0 million).
- Polenghi remains committed to its long-term goal of becoming a preservative-free company. An ongoing analysis is underway for the new sustainability action plan. To achieve higher operational excellence and meet new sustainability objectives, the management team is actively working on enhancing its production plants. The industrial plan has undergone review, and, with the support of experienced professional consultants, implementation has started
- In addition, based on the Group's strong performance reported in 2024, Progressio, supported by a top tier financial advisor, initiated a sale process for the divestment of the minority stake held. Discussions are currently underway to grant exclusivity to a selected party. Please note that the preliminary valuation expected at exit is higher than the FVM represented in the next section

Valuation:

Euro mln	Entry	31.03.2025	
<i>data</i>	<i>01/08/2019</i>	<i>2024A</i>	<i>2025B</i>
EBITDA Adjusted	8.0 (1)	13.7	14.7
EV/EBITDA (2)	9.0x	10.4x	10.2x
Panel discount		15%	15%
EV/EBITDA discounted		8.9x	8.7x
EV	72.0	121.3	127.4
EV Average (3)		124.4	
NFP adjusted	15.6 (4)	9.9	
Equity 100%	56.4	114.4	
Liquidity discount		10%	
Discounted Equity 100%	56.4	103.0	
Minorities	2.8	5.4	
Transaction costs (5)	0.5		
Total Uses	54.1	97.6	
PROGRESSIO			
% stake (6)	36.99%	38.73%	
Committed Capital	20.0		
Transaction cost (5)	0.5		
Cost (investment)	19.5	19.5	
FVM (gross)	19.5	37.8	
SOP (7)		0.7	
FVM (net of SOP)	19.5	37.1	
MOIC		1.9x	

HIPOTESIS LBO Structure - S&U at Entry	
Equity Value Polenghi	53.6
Transaction Cost	0.5
Uses	54.1
Equity Polenghi Group	63.0%
Equity Progressio	37.0%
Sources	54.1

Share Purchase Structure	
Stake in Polenghi Food	19.5
Transaction Cost	0.5
Uses	20.0
PI III Committed Capital	20.0
Sources	20.0

Note(1): Entry valuation based on EBITDA budget 2019 (management estimate at time of negotiations, beginning 2019)

Note (2): average trading multiples as of 31st December 2024 and 31st December 2025 (expected)

Note (3): the valuation is based on average EV resulting from 2024 (PC figures) and 2025 budget key financials

Note(4): NFP at entry is an estimate as of closing date (before NFP price adjustment definition)

Note(5): the transaction cost has been paid by Progressio, but the valuation was sterilized of such costs impact: the deal (and then the final stakes) has been structured as a typical LBO (see figure "Hypothesis LBO Structure") but executed as a purchase of shares

Note(6): A price adjustment mechanism based on effective NFP at closing and 2019 actual EBITDA have been defined implying a transfer of quotas (2% of capital) in favor of Progressio. (April 2021). In addition, in May 2021 Filippo Scandellari subscribed a capital increase of Euro 150k of ordinary quotas

Note(7): given the valuation as of the reference date, the SOP has an impact on the estimated value of Euro 0.6 million, as the fair value attributable to the Company has exceeded the activation threshold of 1.75x CoC.

Wide Open (previously invested in Assist Digital)

Portfolio company (1):	Wide Open S.r.l. in liquidazione ("Wide Open")
Fund	Progressio Investimenti III
RECORD DATE:	31/12/2024
INVESTMENT DATE	16/12/2020
TYPE OF TRANSACTION	Share Purchase
HEADQUARTER	Milano (MI)
HEADQUARTER (REGION)	Italy
% STAKE (2)	24.54%
COMMITTED CAPITAL	n.m.
INITIAL INVESTMENT (3)	24,460,805
FOLLOW-ON	0
TOTAL INVESTMENT (3)	24,460,805
OF WHICH SHARE CAPITAL	24,460,805
OF WHICH SHAREHOLDERS' LOAN	0
OF WHICH CONVERTIBLE BOND	0
REALIZED CAPITAL (4)	66,965,341
TYPE OF COMPANY	Private
DEAL SOURCE	Proprietary – M&A advisor
EXIT DATE	30/03/2023

Note (1): Wide Open S.r.l. is the acquisition purpose vehicle, originally incorporated by Progressio Investimenti III, that acquired a 30% stake in Assist Digital

Note (2): PI III holds 81.81% stake in Wide Open, which owned a 30% stake in Assist Digital. So, the indirect stake of PI III in Assist Digital amounted to 24.54%

Note (3): at the entry (December 2020) PI III invested Euro 22.4 million out of the total initial commitment of Euro 22.5 million, with Euro 100k withheld as extra funding and not injected in Wide Open at closing. Current total investment amounts to Euro 24.5 million considering (i) the equity syndication to BNL - BNP Paribas Group in July 2021 which regarded a 18.19% stake in Wide Open for a consideration of Euro 4.25 million (including the hurdle rate accrued in the meantime) and (ii) the capitalization of Wide Open by PI III for Euro 2.5 million and Euro 3.7 million for the payment respectively of the earn out 2020 and 2021. Note that the amount cashed-in from the equity syndication not used for capitalization of Wide Open for the earn out 2020 payment has been returned to investors

Note (4): realized capital considers (i) the amount of the hurdle rate received from BNL – BNP Paribas Group at its entry of Euro 175k and (ii) the pro-quota amount of PI III cashed-in by Wide Open at the exit date (30 March 2023) of ca. Euro 66.8 million (including the amount of carried interest recognized by BNL – BNP Paribas Group). For sake of clarity, please consider that the Realised Capital does not include the deferred consideration of ca. Euro 2.3 million (nominal amount, to be increased by the interest rate accrued until the payment and the portion of carried interest which will be recognized on such amount) which will be recognized at the prior of (x) 7 year from the closing and (y) the exit of Ardian. Please refer to the Valuation section for more details.

Company description:

Assist Digital is a Customer Relationship Management (CRM) service provider focused on customer experience transformation and digital interactions blending human and artificial intelligence with the aim of improving customer experience and business performance

With ca. 4,400 FTE (of which ca. 600 consultants, designers and engineers) across 22 offices and contact centers in EMEA as of December 2022, Assist helps blue-chip companies increasing their customer satisfaction through an omnichannel organizational strategy and the use of innovative technology platforms

Assist Digital operates with four service lines, fully integrated to support the whole customer experience: i) customer operations management through dedicated multilingual contact centers; ii) CRM advisory and marketing automation implementing third party best-in-class CRM solutions; iii) design of solutions (e.g. websites; apps) to improve users experience interacting with companies; iv) technology and artificial intelligence solutions to manage the relationship with customers

Company updates:

- On 24 December 2022, Assist Digital shareholders signed the SPA with Ardian, envisaging an Equity Value (based on a 100% stake of the Group) of Euro 300 million, of which Euro 290 million paid at the closing of the transaction (the "**Closing**") and Euro 10 million to be recognized to the sellers as a deferred price, which will be remunerated and will be paid after 7 years from the closing or at the exit of Ardian if prior to 7 years (the "**Deferred Consideration**")
- After having obtained the necessary antitrust authorizations (in Italy and in Albania) and golden power authorization, the Closing occurred on 30 March 2023 and Wide Open sold its entire stake in Assist Digital, with the other Assist Digital shareholders re-investing alongside Ardian, which will become the new majority shareholder
- As provided by the SPA, the sellers provided representations and warranties only related to "fundamental matters" while the buyer - at his own expense - set up an insurance policy to cover potential liabilities related to the "business matters", which will be the sole remedy for the buyer
- The SPA envisages that the Deferred Consideration may be used to offset potential indemnities owed by the sellers. It should be noted that no leakages occurred either at the Closing or in the following 9 months after the Closing, deadline in which the buyer should have reported any leakage eventually occurred after the Closing
- Originally the Deferred Consideration could have been used also to offset potential indemnities arising from a specific labor law dispute (the "**INPS Dispute**"), but before the Closing such litigation had a final positive outcome for Assist Digital and such special warranty has already expired and no longer applies
- Following the Closing, on 5 April 2023, Wide Open was put in liquidation and during the same month the Liquidator distributed a liquidation advance to the shareholders. The liquidation will be completed once Wide Open will cash-in and consequently distribute the amount related to the Deferred Consideration, including the interests (5.25% on an annual basis) accrued in the meantime, which will be paid together with the Deferred Consideration. The amount cashed-in at closing includes the carried interest recognized by BNL – BNP Paribas Group to the Fund while the amount that will be received as Deferred

Consideration will include the portion of carried interest which will be recognized on such amount.

Valuation:

Based on the valuation expressed by Ardian for the transaction and envisaged in the SPA, the overall valuation of the investment amounts to ca. Euro 69.4 million, of which:

- realized capital equal to ca. Euro 67 million: (i) Euro 0.2 million relating to the hurdle rate received from BNL-BNP Paribas Group at the moment of its co-investment in Wide Open; (ii) Euro 66.8 million relating to PI III pro-quota amount of the liquidation advance distributed by Wide Open after the Closing, including the carried interest recognized by BNL – BNP Paribas Group to the Fund
 - residual value equal to ca. 2.4 million. This amount will be realized following the cash-in of the deferred consideration. Please consider that such amount refers to 31 December 2024 and it (i) will be updated (starting from the nominal amount of Euro 2.3 million at closing) on a semi-annual basis at 30 June and 31 December factorizing the change in Wide Open's shareholder's equity (mainly related to the accrual of the interest rate) and (ii) does not consider yet the carried interest which will be paid to the Fund by BNL- BNP Paribas Group at the moment of the distribution.
-

ATK Sports

Portfolio company:	ATK Sports S.r.l. ("ATK")
Fund	Progressio Investimenti III
RECORD DATE:	31/03/2025
INVESTMENT DATE	27/05/2021
TYPE OF TRANSACTION	LBO
HEADQUARTER	Fiorano Modenese (MO)
HEADQUARTER (REGION)	Italy
% STAKE	65.00%
COMMITTED CAPITAL (3)	14.787.500
INITIAL INVESTMENT (3)	14.787.500
FOLLOW-ON	0
TOTAL INVESTMENT (3)	14.787.500
OF WHICH SHARE CAPITAL	14.787.500
OF WHICH SHAREHOLDERS' LOAN	0
OF WHICH CONVERTIBLE BOND	0
REALIZED CAPITAL	0
TYPE OF COMPANY	Private
DEAL SOURCE	Auction - M&A advisors
BUSINESS ACTIVITY	Development and production of ski touring bindings
POSITION	Majority
# PERSONNEL (FTE)	90
END MARKETS	24% Germany, 16% Italy, 43% Rest of Europe, 15% USA, 2% RoW
AUDITOR	KPMG
EXIT DATE	n.a.
WEB SITE	www.atkbindings.com

Shareholding Structure Open Ski S.r.l.:

Progressio Investimenti III	65.0%
Dafe S.r.l. ⁽¹⁾	34.0%
Davide Indulti	1.0%
Total	100.0%

Note(1): holding company controlled by Indulti family, founders of ATK Sports who retained a 35% minority stake (together with the stake held by Davide Indulti) and their operative roles in the Company following Progressio's investment

Management

CEO	Davide Indulti
CFO	Guerrina Amorotti
COO	Giovanni Indulti

Company description:

ATK Sports S.r.l. ("ATK" or the "Company") is a mechanical company leader in the development and production of ski touring bindings and accessories. The Company is based in Fiorano Modenese (Modena) in the heart of the Italian Motor Valley and was founded in 1998 as a third-party manufacturer of metal components, allowing it to develop its mechanical engineering skills and efficient production know-how. Leveraging on such expertise and the entrepreneur's ingenuity, ATK entered the ski touring bindings sector in the early 2010s and, over the years, developed over 50 patents that protect its touring bindings' technology, establishing itself as the go-to brand for quality, durability, lightness and ease of use of its products. On top of products under its proprietary brand *ATK Bindings* (ca. 80% of the revenues), the Company also develops and produces bindings for established ski brands turning to ATK to complete their offer with touring equipment

Investment thesis:

- **Market Trends.** Ski touring represents an attractive niche of the mountaineering sports, recently experiencing a strong increase in number of practitioners due to Covid, which accelerated ongoing underlying trends including (i) growth in popularity of endurance sports and outdoor experiences; (ii) numerous skiers picking up touring for training and keeping fit, resulting in several resorts adapting their routes to host ski touring activities; (iii) development of tech solutions aimed at monitoring/decreasing risks and tracking performance. Recent increase due to Covid is expected to have positive impact on ski touring also in the medium/long-term
- **Positioning.** Across ski touring bindings competition, ATK is recognized by experts and final users as the best-in-class brand for quality, durability, lightness and ease of use of its bindings, which represent a mission critical piece of equipment for the ski touring experience
- **Know-how and competences.** ATK carries out internally close to 100% of the development, production and assembly activities. The Company's mechanical solutions design capabilities and production know-how can be leveraged to enter adjacent segments (e.g. bike components)
- **International expansion potential.** Strong potential for penetration in North America, representing ca. 25% of the ski touring market and currently untapped by ATK branded products
- **Strong financial performance.** ATK grows double digit outperforming its reference market and also shows an attractive financial performance and cash generation profile with > 50% EBITDA margin and approximately 60% cash conversion
- **Family commitment.** Indulti family, founders of ATK and origin of its success as mechanical company and ski touring bindings leader, are strongly committed to the future of the Company and reinvested a sizeable minority stake as well as a Vendor Loan in the Transaction

Description of the target market:

ATK currently competes in the ski touring bindings market estimated⁽¹⁾ to be worth approx. Eur 120 million sell-out and Euro 80 million sell-in value respectively in 2019, equal to ca. 285k ski touring bindings pairs sold each year to approx. 2 million ski tourers worldwide

As a consequence of Covid, an unexpected number of skiers turned to touring, generating a ca. 30% increase in the bindings' market already in the 20-21 season and, according to PwC estimates, increasing the medium/long-term growth expectation for the sector up to ca. 5/7% 2021-26 CAGR (vs. 4% expected pre-Covid)

Quality, expressed through lightness, durability and ease of use, is the key buying factor in the market. Practitioners across geographies are little to zero price-sensitive in view of bindings being a mission critical component of the touring equipment. ATK is positioned as the top brand in the sector in terms of quality, so much that approx. 100 out of ca. 160 participants to the Ski Touring World Cup use ATK's bindings

In terms of geographies, Europe represents the bulk of the market (ca. 2 thirds), North America accounts for ca. 25% and RoW (mainly Japan and LatAm) accounts for ca. 10%

Note (1): estimates and future growth are sourced from PwC business due diligence performed in relation to the Transaction

Financial Information:

	Actual	Actual	Actual	Actual	Budget	Actual	Actual
Euro/mln	2021	2022	2023	2024	2025	Q1 2024	Q1 2025
Revenues	20.2	24.5	14.9	15.0	19.0	1.9	3.7
% YoY		21.0%	(39.2%)	0.5%	27.1%	n.a.	98.8%
EBITDA (1)	12.0	14.3	7.3	6.7	8.8	0.8	1.8
EBITDA Margin %	59.1%	58.6%	48.9%	44.5%	46.4%	41.8%	49.2%
EBIT	4.7	8.2	0.8	1.1	3.3	(0.6)	0.6
EBIT Margin %	23.0%	33.4%	5.5%	7.7%	17.1%	(31.8%)	16.4%
Earnings / (Loss) of the year	2.5	5.1	0.0	0.8	0.5	(0.7)	0.5
% on Revenues	12.6%	20.9%	0.0%	5.7%	2.7%	(37.9%)	14.3%
Net Debt (cash) (2)	8.4	1.6	(1.9)	(5.8)	(5.4)	(2.6)	(7.7)

Note (1): EBITDA adjusted for leasing payments and extraordinary costs

Note (2): Net Debt includes the acquisition financing drawn by Open Ski to complete the acquisition of ATK. Please note that such figures do not include an additional Euro 5 million Vendor Loan granted by Indulti family to Open Ski

Company updates:

- Actual results in FY2024 for ATK show Euro 15.0 million revenues, a +0.5% vs. last year, showing the envisaged recovery trend particularly in the last quarter of the year (revenues in 9M 2024 were down ca. 13% vs 9M 2023). Performance benefitted from (i) preliminary signs of recovery in the outdoor / ski touring market (where ATK persists as the undisputed brand in terms of product quality and value chain integration), and (ii) the 2024 evolution of the commercial model, with direct presence established with a subsidiary in USA (to cover the North American market) as well as direct distribution (managed from Italy with local partners and directly controlled agents) in Austria
- EBITDA in FY2024 stood at Euro 6.7 million (vs Euro 7.3 million in FY2023), driven by a positive Gross Margin performance, i.e. ca. 63.7% in FY2024 vs. ca. 60.4% in FY2023, but impacted at EBITDA level (ca. 44.5% margin vs. 48.9% in FY2023) by (i) relevant costs for prototyping,

product development and marketing of the newly launched hybrid binding (presented to market in Nov24 and on sale from Jan25), and (ii) incremental fixed costs for white-collar figures added to the organizational structure, including the cost of the NORAM subsidiary manager, active for the Italian entity for the full FY2024 despite the subsidiary only started operations and sales in Jul24. NFP as of December 31st 2024, excluding the Euro 5.0 million vendor loan provided by the sellers in 2021, was negative at Euro 5.8 million net cash, (vs Euro 1.9 million net cash as of December 31st 2023) highlighting a strong Euro 3.9 million cash generation in the year, despite ca. Euro 1.3 million of capex (ca. Euro 1.1 million of which were linked to investments sustained by ATK for the building under construction by the Indulti family, which ATK will rent and where it will move 100% of Italian operations starting from Q2 2025; ca. Euro 3.0 million total expected capex for the new building between 2024 and 2025)

- Preliminary Budget for FY2025, to be approved by the Company in May after the end of the pre-sale campaign for 2025/26 winter envisages a significant boost in revenues, up to Euro 19.0 million, i.e. ca. 27% growth, expected to be mostly driven by (i) a continued recovery of the sector, (ii) sales of the newly launched hybrid bindings, already giving promising signs of successful results in the currently ongoing pre-order campaign for the 2025/26 winter season, and (iii) further penetration in North America, where the newly opened subsidiary only operated in the second quarter of FY2024, thus leading ATK to miss sale opportunities in the first part of the year (subject to impact for tariffs to be further assessed). EBITDA in FY2025 is expected at Euro 8.8 million, ca. 46.4% margin (vs. ca. 44.5% posted in FY2024) mostly thanks to operating leverage on the increased top line. NFP is budgeted at Euro 5.4 million net cash in Dec 2025, due to the envisaged capex (mainly for the new building) and conservatively estimating certain cash absorption from working capital due to the enlarged product portfolio and expected growth
- In Q1 2025 ATK reported Euro 3.7 million revenues, doubling the results shown in Q1 2024 (Euro 1.9 million revenues), thanks to (i) the expected market recovery, and mostly (ii) the contribution from the North American commercial subsidiary (active since Jul 2024, whereas in the first half of FY2024 North American revenues were realized only by the prior external distributor, which sold its inventory and did not buy back from ATK as the relationship was being discontinued). EBITDA in Q1 2025 stood at Euro 1.8 million (vs Euro 0.8 million in Q1 2024), i.e. 49.2% EBITDA margin in Q1 2025 vs 41.8% in Q1 2024, mostly driven by the top line growth. NFP as of March 31st 2025 (excl. Euro 5.0 million vendor loan) was negative at Euro 7.7 million net cash, (vs Euro 6.0 million net cash as of December 31st 2024) showing a very strong cash generation in the quarter, partially linked to the seasonality of the business
- ATK is also internally developing the first prototypes of biking components to expand in this new sport. Presentation to market of the first ATK biking product is preliminary expected for 2026

Valuation:

Euro mln	Entry	31.03.2025		Sources & Uses at Entry (Euro mln)			
date	27/05/2021	2024PC	2025B	EV	36.5	Equity	22.8
EBITDA Adjusted	4.8	6.7	8.8	TC & overf.	1.3	NFP	10.0
EV/EBITDA (1)	7.7x	11.7x	11.7x			Vendor L.	5.0
Panel discount		15.0%	15.0%				
Enterprise Value	36.5	66.1	87.6				
EV Average (2)		76.9		Uses	37.8	Sources	37.8
TC and overfunding	1.3						
Total Uses	37.8						
NFP	10.0	(7.7)					
Vendor Loan	5.0	5.0					
Equity 100%	22.8	79.6					

PROGRESSIO

% stake 65.00%

Cost (investment) 14.8

FVM (gross) 14.8 51.8

FVM (net of SOP) (4) 14.8 48.6

MOIC - 3.3x

Note(1): average transaction multiple

Note(2): the valuation is based on average EV resulting from 2024 actual and 2025 preliminary budget key financials

Note(3): NFP as of Mar-25

Note(4): MIP calculated based on current FMV (gross)

RECENT EVENTS

None